
RE: FW Kansas Sales-Tax Classification Inquiry — Online Automotive Training and Simulator Access

From Roger Basinger [KDOR] <Roger.Basinger@KS.GOV>

Date Thu 2026-09-17 12:43

To Rafael Rodriguez <rafael@autolearnpro.com>

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Good morning, Mr. Rodriguez,

Your email has been forwarded to me for response. Thank you for your inquiry.

In your email, for the purposes of sales tax, you question the taxability of a product named AutoLearnPro which is described as an automotive online instruction product that includes a diagnostic simulator.

Based on the information provided, it appears the product is pre-written computer software and would follow the taxability of software.

K.S.A. 79-3603(s) provides for the imposition of sales tax on software and reads as follows:

For the privilege of engaging in the business of selling tangible personal property at retail in this state or rendering or furnishing any of the services taxable under this act, there is hereby levied and there shall be collected and paid a tax . . . Such tax shall be imposed upon: . . . (s) on and after January 1, 2005, the gross receipts from the sale of prewritten computer software and the sale of the services of modifying, altering, updating, or maintaining prewritten computer software, whether the prewritten computer software is installed or delivered electronically by tangible storage media physically transferred to the purchaser or by load and leave.

As the statute outlines, the taxability of the prewritten software is predicated upon the software being physically loaded onto a computer or server based in Kansas. As outlined in your email, the delivery of the software being discussed is online through a web browser. We are interpreting that statement to mean that the software is loaded on a remote cloud server and is accessed through a web browser. The software program is never installed physically on equipment located in Kansas. If our understanding is correct, the Department has advised that software accessed via the internet and not physically loaded onto computers or servers located in Kansas is not subject to Kansas Sales Tax.

To address your remaining questions. The interactive simulation functionality of the software should not change the taxability of the software if based in the cloud. The Department cannot address the taxability of the product if sold to customers located outside of Kansas. Each state to which the product or subscription is sold would need to be consulted to determine compliance with their respective sales tax laws.

Hopefully, this response has addressed your questions. If you have additional questions or comments, please do not hesitate to contact us.

Thank you,

Roger Basinger
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From: Rafael Rodriguez <rafael@autolearnpro.com>
Sent: Tuesday, September 8, 2026 1:50 PM
To: KDOR_TAC <KDOR_TAC@KS.GOV>
Subject: [O365 HAS DESIGNATED THIS MESSAGE AS SUSPICIOUS] Kansas Sales-Tax Classification Inquiry — Online Automotive Training and Simulator Access

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Dear Kansas Department of Revenue Taxpayer Assistance Center,

My name is Rafael Rodriguez, and I am a Kansas sole proprietor developing AutoLearnPro, an online automotive education product that includes the TorqueMind diagnostic simulator. I am requesting written guidance regarding the Kansas retailers' sales-tax treatment of this product before accepting customer payments.

The proposed transaction has the following characteristics:

- Customers make a one-time purchase; no subscription or automatic renewal is offered.
- The product is delivered entirely online through a web browser.
- Customers receive access to automotive training materials and an interactive diagnostic simulator.
- No physical product is delivered.
- No software is downloaded or installed on the customer's device.
- The product is not a live-streaming or instructor-led course.
- AutoLearnPro is based in Geary County, Kansas.
- The initial sales territory is limited to customers in the United States.

I reviewed the following KDOR materials:

- Publication KS-1510, Sales Tax and Compensating Use Tax

- KDOR Taxability Information Guides
- General Industries Self-Audit Fact Sheet
- Publishers Taxability Information Guide
- Custom Computer Programming Services Fact Sheet

The materials appear to indicate that continuing-education courses, certain electronically delivered materials, internet-accessed software or databases, and fees for accessing materials stored online may be exempt. However, AutoLearnPro combines educational content with interactive browser-based simulator functionality, so I do not want to assume that one category controls the transaction.

Would KDOR please provide guidance on the following questions?

1. Is a one-time charge for browser-based AutoLearnPro training and simulator access subject to Kansas retailers' sales tax?
2. Would the transaction be classified primarily as an educational service, access to electronically delivered content, remotely accessed software, an admission, or another category?
3. Does the interactive simulator component affect the tax treatment of the accompanying educational content?
4. If the transaction is taxable, must AutoLearnPro register for Kansas retailers' sales tax before accepting payments?
5. If taxable, should the applicable local rate be determined using the customer's service or billing address under Kansas destination-based sourcing rules?
6. If some components are taxable and others exempt, must they be separately stated, and what documentation should be maintained?
7. If the transaction is exempt, what records or written determination should AutoLearnPro retain to support that treatment?
8. Does the analysis change when access is sold to a customer located outside Kansas?

If additional details, screenshots, product descriptions, pricing information, or a sample checkout flow would help with the classification, I would be glad to provide them.

I would appreciate a written response identifying any applicable Kansas statute, regulation, ruling, notice, or KDOR publication. AutoLearnPro will preserve the response as part of its tax-compliance documentation and will not represent the product as taxable or exempt until the classification is documented.

Thank you for your assistance.

Respectfully,

Rafael Rodriguez
Sole Proprietor
AutoLearnPro / TorqueMind
Geary County, Kansas

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